SUMMARY · MK 1 ORGANIZATIONAL BEHAVIOR & MANAGING PEOPLE · WEEK 4

Leadership — Art or Science?

What makes a good leader? The slides summarize eight classic HBR views, then six traits of excellent leaders from McKinsey's CEO Excellence. The case: how Satya Nadella transformed Microsoft's culture through a growth mindset.

Material

1 Eight HBR views on leadership

1. **Emotional intelligence (Goleman)** — self-awareness, self-regulation, motivation, empathy, social skill.
2. **Effectiveness (Drucker)** — ask "what needs to be done?", own decisions and communication.
3. **Adaptive (Kotter & Heifetz)** — management copes with complexity, leadership with change; adaptive problems require people themselves to change.
4. **Inspiring followers (Goffee & Jones)** — "Why should anyone be led by you?"
5. **Humility + professional will (Collins)** — the Level 5 leader.
6. **Forged by hardship (Bennis & Thomas)** — crucible experiences.
7. **Authentic (George et al.)** — learn from others, don't imitate.
8. **Incomplete (Ancona et al.)** — know your gaps and lean on others' strengths.

Art or science? **Both** — learnable frameworks applied through personality, context and experience.

2 Leadership styles: from traits to situational Deep dive

Traits → Behaviours → Situational → Transformational & strategic

Situational leadership: match style to readiness.

↕ Top: high supportive · bottom: low supportive

S3 Supporting Able but unsure.	**S2 Coaching** Willing but not yet able.
S4 Delegating Able and willing.	**S1 Directing** New and unable.

↔ Left: low directive · right: high directive

Situational leadership: directive vs supportive



Conceptual: the more ready the person, the less direction needed.

3 Six traits of excellent leaders (CEO Excellence, McKinsey) — "Be Bold"

1. **Purpose-driven** — authentic purpose can be strong strategy but can't be faked: do the right thing, then fight to find the business case.
2. **Giver (Adam Grant)** — genuinely being there for others.
3. **Mobilizing people (Jonah Berger)** — the right words help people listen, be persuaded and motivated.
4. **Orchestrator (Christian Busch)** — serendipity is seeing links others miss and combining them.

5. **Grit (Angela Duckworth)** — no shortcuts to excellence; staying in love with what you care about.
6. **Learner (David Epstein, *Range*)** — breadth and interdisciplinary thinking in a world pushing hyperspecialization.

4 Transactional vs transformational — and the Nadella lesson

Deep dive

Transactional

Targets ↔ rewards; maintains standards.

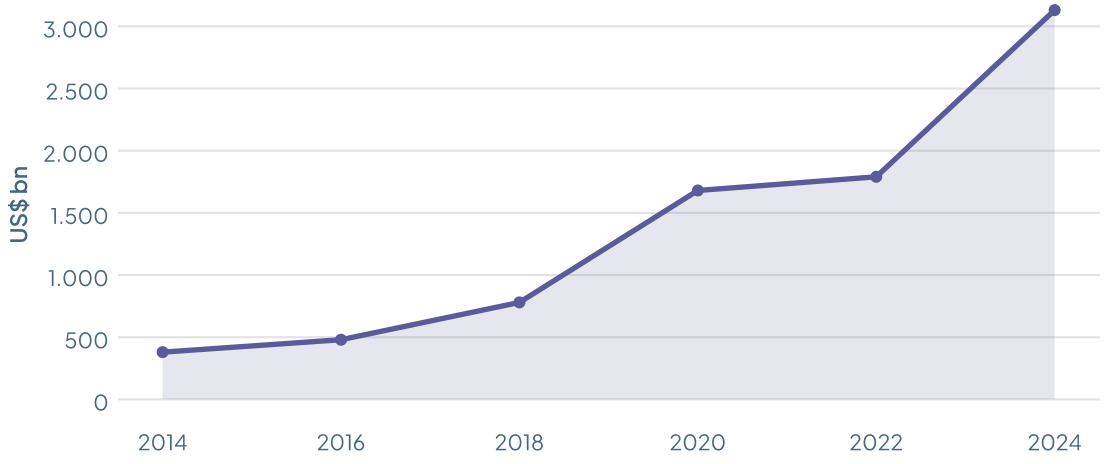
vs

Transformational

Vision, individual consideration, intellectual stimulation; drives change.

	Before 2014	Under Nadella
Mindset	Know-it-all	Learn-it-all
Reviews	Stack ranking	Removed; contribution to others
Strategy	Protect Windows	Cloud-first, partnerships

Microsoft market capitalisation (approx., US$ bn)



Rounded approximations to show direction; Nadella became CEO in February 2014.

5

Going deeper on the eight views: each author's key concept

Author	Key concept to remember	Reflection question
Goleman (EQ)	Five components: self-awareness, self-regulation, motivation, empathy, social skill. Goleman also mapped **six styles** (HBR 2000, "Leadership That Gets Results"): coercive, authoritative (visionary), affiliative, democratic, pacesetting, coaching. Authoritative has the most positive effect on climate; coercive and pacesetting are the most negative when overused.	Which style do I default to under pressure?
Drucker	Effective executives ask "what needs to be done?" and "what is right for the enterprise?", write action plans, take responsibility for decisions and communication, focus on opportunities, and say "we", not "I".	Are my priorities set by the organisation's needs or my comfort?
Kotter & Heifetz	Heifetz separates **technical problems** (experts already know the fix) from **adaptive challenges** (people must change values, habits or mindsets). A common mistake: treating adaptive challenges with technical fixes.	Is my unit's problem technical or adaptive?
Goffee & Jones	"Why should anyone be led by you?" — leaders reveal weaknesses selectively, read situations well, practise "tough empathy" and dare to be different.	What makes people follow me other than my title?
Collins	**Level 5 leadership**: personal humility + intense professional will. "Window and mirror": in success, look out the window (credit others); in failure, look in the mirror (own it).	When a project succeeds, whom do I name?
Bennis & Thomas	**Crucibles**: hard experiences (failure, crisis, loss) that shape leaders by forcing reflection and new meaning.	Which hard experience shaped me?
George et al.	**Authentic leadership**: leading from one's own life story and values, building a support team (mentors, candid friends), balancing intrinsic and extrinsic motivation.	Am I imitating someone else's style?

Ancona et al.	**Incomplete leader**: four capabilities — sensemaking, relating, visioning, inventing. Nobody excels at all four; complete yourself with a team.	Which capability should I fill with others?

6 A note on 'CEO Excellence' and how to use the six traits on the slides

CEO Excellence (Carolyn Dewar, Scott Keller, Vikram Malhotra — McKinsey, 2022) draws on interviews with about 200 top CEOs. The book organises the CEO's job into **six responsibilities**: setting direction, aligning the organisation, mobilising the top team, working with the board, connecting with stakeholders, and managing personal effectiveness — with the common thread "be bold".

The six traits on the slides (purpose-driven, giver, mobilising people, orchestrator, grit, learner) are the **lecturer's synthesis**, combining the "be bold" spirit with other books (Grant, Berger, Busch, Duckworth, Epstein). In the exam, name the six traits as on the slides; if asked to link them to McKinsey, say the source is the "be bold" spirit of *CEO Excellence*.

Exercise: a development plan built on the six traits

Trait	Observable behaviour	Small step this month
Purpose-driven	Can explain "why" a project matters to customers/society	Open every team meeting with one sentence of purpose
Giver	Helps without keeping score, but keeps boundaries	One introduction or favour for someone in another unit each week
Mobilising people	Concrete messages, uses questions, language matched to the audience	Rewrite one memo in concrete words (see Week 5's "power of words")
Orchestrator	Connects people and ideas across units	Bring two people from different units together on one problem
Grit	Sticks with long-term goals despite setbacks	Pick one skill and practise 30 minutes a day for 30 days

Learner	Breadth across disciplines, not just specialism	Read one chapter outside your field each week

Key takeaways

1. Leadership is both art and science.
2. Eight HBR views: EQ, effectiveness, adaptive, inspiring, humility+will, crucibles, authentic, incomplete.
3. Six CEO Excellence traits: purpose-driven, giver, mobilizer, orchestrator, grit, learner.
4. Culture changes through systems (rewards, reviews), not slogans.
5. Growth mindset: from know-it-all to learn-it-all.
6. Leaders model behavior most when they're wrong.
7. Middle managers are often the key — or the blocker — in transformation.

Case studies

Case & worked answers

Satya Nadella at Microsoft: instilling a growth mindset (LBS)

The "lost decade". Under Ballmer (2000–2014) Microsoft was highly profitable but its stock stagnated and culture decayed. **Stack ranking** forced roughly one in ten into a poor rating every six months, killing collaboration and rewarding politics. Bing and Zune lagged, talent left for Google, CEO approval was ~29% in 2011.

What Nadella did: listened first (hundreds of employees, anonymous focus groups); reframed the mission to empowering every person and organization to achieve more; adopted Dweck's **growth mindset** — from "know-it-alls" to

"learn-it-alls" — with pillars of customer obsession, diversity & inclusion, and One Microsoft; built a leadership team that debates healthily; abolished stack ranking for continuous feedback and manager-held compensation budgets; made bold moves (Office on iOS, embracing Linux, LinkedIn); modeled owning mistakes (the women's pay remark; backing the Tay team).

Results (2018): ~$700bn market cap, ~95% approval, Azure widely used — but **middle management** was the missing link; culture change is slow and painful.

Theory links: EI/empathy (Goleman), humility + will (Collins), crucible (Bennis & Thomas), purpose/learner/orchestrator (CEO Excellence), Kerr's folly (W3) — Nadella fixed the reward system, not just the slogans; Four Drives — stack ranking destroyed bond and defend.

Reflect: what systems in your future organization quietly reward the opposite of stated values? How can you, as a middle manager, be the link that isn't missing?

Practice questions

Try answering first. The answer key is below each question.

1. A team member is able and willing. Best situational style…

A. Directing
B. Coaching
C. Supporting
D. Delegating

Answer: D. Fully ready → delegate.

2. A hallmark of transformational leadership is…

A. Trading targets for bonuses
B. Changing how people see work through vision and example
C. Leaving the team alone
D. Focus on punishment

Answer: B. It inspires and shifts mindsets.

3. A key cultural move by Nadella was…

A. Tightening stack ranking
B. Removing stack ranking and promoting growth mindset
C. Windows only
D. Fewer partnerships

Answer: B. Stack ranking bred internal politics.

---

4. A new, eager but unskilled employee needs…

A. Delegating
B. Directing/Coaching
C. Supporting only
D. Leave alone

Answer: B. Needs clear direction.

---

5. Why does one style not always work?

A. Leaders are always wrong
B. Readiness and situations differ
C. Trait theory is right
D. Culture doesn't matter

Answer: B. The core of situational theory.

Sources

- Week 4 - Leadership (Student Version).pdf
- Satya Nadella at Microsoft; instilling a growth mindset.pdf